



Aarti Drugs Limited

Manufacturers of : Bulk Drugs & Chemicals

Corporate Office : Mahendra Industrial Estate,
Ground Floor, Plot No. 109-D, Road No. 29,
Sion (East), Mumbai - 400 022. (India)
Tel. : 022-2407 2249 / 2401 9025 (30 Lines)
Fax. : 022-2407 3462 / 2407 0144
Email: admin@aartidrugs.com
website: www.aartidrugs.com
CIN No.:L37060MH1984PLC055433

Ref: ADL/SE/2024-25/64
August 29, 2024

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE: 524348

To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (East), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS

Dear Sir/Madam,

**Sub: Business Responsibility and Sustainability Report of the
Company for financial Year 2023-24**

**Ref: Regulation 34(2)(f) of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015**

Please find enclosed herewith Business Responsibility and Sustainability Report for the Financial Year 2023-24, which forms part of the Annual Report for the Financial Year 2023-24, submitted to the Exchanges on August 29, 2024.

The said Report is also available on the website of the Company at www.aartidrugs.co.in along with the Annual Report and Notice of 39th Annual General Meeting of the Company.

Kindly take the same on record.

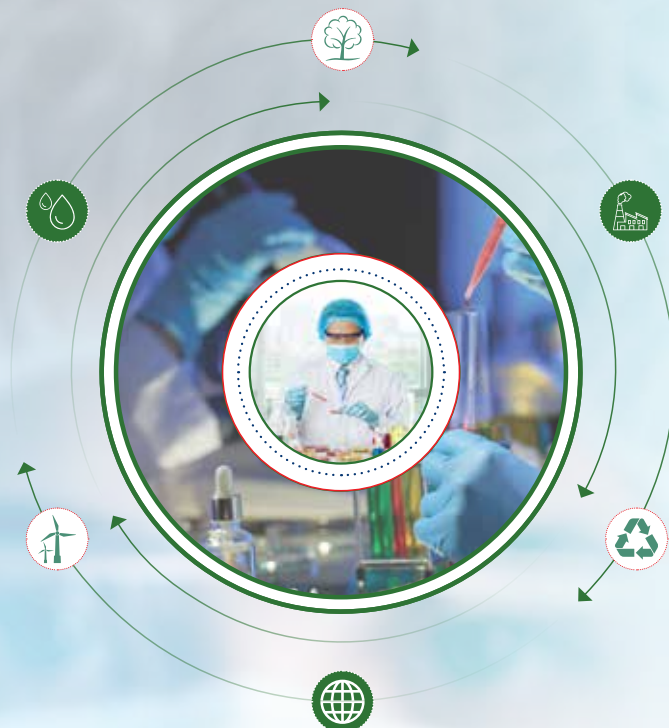
Thanking you,

Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M. No.: F12932

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT



SECTION A GENERAL DISCLOSURES

I. Details of the listed entity

1. Corporate Identity Number (CIN) of the Listed Entity	L37060MH1984PLC055433
2. Name of the Listed Entity	Aarti Drugs Limited
3. Year of incorporation	1984
4. Registered office address	Plot No. N-198, M.I.D.C. Tarapur, Village – Pamtembhi, Taluka & Dist. Palghar – 401506 Maharashtra, India
5. Corporate address	Ground Floor, Mahendra Industrial Estate, Plot No 109-D, Road No. 29, Sion (East), Mumbai – 400022, Maharashtra, India
6. E-mail	investorrelations@aartidrugs.com
7. Telephone	+9122-24019025
8. Website	www.aartidrugs.co.in
9. Financial year for which reporting is being done	April 1, 2023 to March 31, 2024
10. Name of the Stock Exchange(s) where shares are listed	a. National Stock Exchange of India Limited b. BSE Limited
11. Paid-up Capital	As on March 31, 2024 total paid up capital of the Company stood at 91,93,50,000 consisting of 9,19,35,000 Equity shares of 10/- each
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	a. Name - Rushikesh Deole b. Designation - Company Secretary c. Telephone Number - (022) 2401 9025 d. E-mail ID - investorrelations@aartidrugs.com
13. Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone basis (Business Responsibility initiatives of the parent Company are applicable to the subsidiary companies to the extent that they are material in relation to the business activities of the subsidiaries.)
14. Name of assurance provider	Not applicable, as BRSR Core Assurance is not mandatory for the Company.
15. Type of assurance obtained	

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

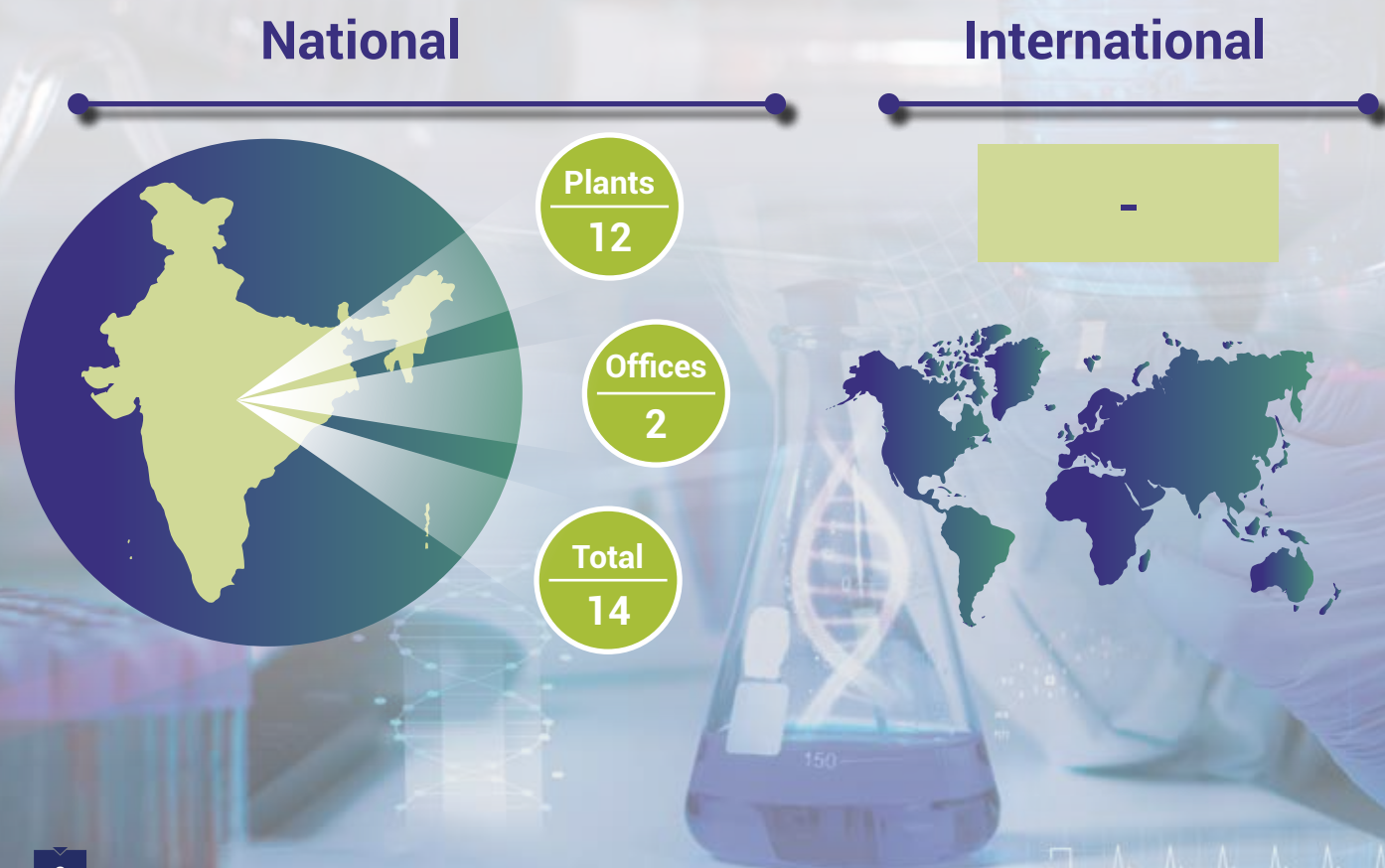
Description of Main Activity	Description of Business Activity	% of Turnover of the entity
Pharmaceuticals	Manufacturing and Marketing of Pharmaceuticals Products	100%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

Product/Service	NIC Code	% of total turnover contributed
API	21001	92%
Speciality Chemicals	21001	6%
Intermediates & Others	21001	2%

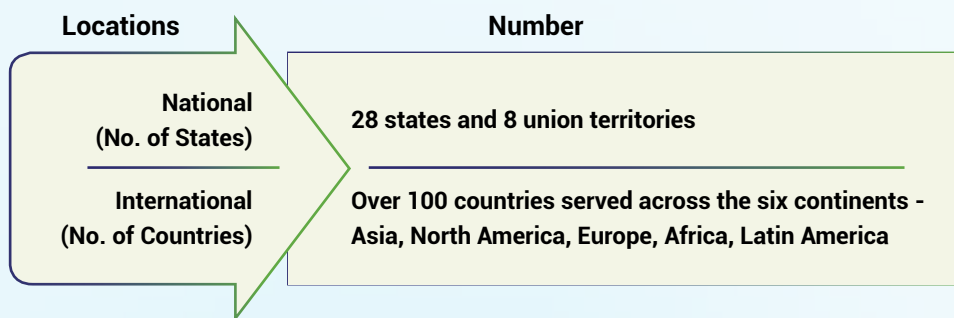
III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:



19. Markets served by the entity:

a. Number of locations



b. What is the contribution of exports as a percentage of the total turnover of the entity?

The Company has a global presence with exports accounting for approximately 33% of its revenue.

c. A brief on types of customers

We serve a wide range of customers such as pharmaceutical formulation companies, Specialty Chemical manufacturers, dyes and pigments manufacturers across the globe.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No.(B)	%(B/A)	No.(C)	%(C/A)
EMPLOYEES						
1.	Permanent (D)	766	663	86.55%	103	13.45%
2.	Other than Permanent (E)	706	612	86.69%	94	13.31%
3.	Total employees (D+E)	1,472	1,275	86.62%	197	13.38%
WORKERS						
4.	Permanent (F)	298	297	99.66%	1	0.34%
5.	Other than Permanent (G)	992	953	96.07%	39	3.93%
6.	Total workers (F+G)	1,290	1,250	96.90%	40	3.10%

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No.(B)	%(B/A)	No.(C)	%(C/A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	3	2	66.67%	1	33.33%
2.	Other than Permanent (E)	0	0	0.00%	0	0.00%
3.	Total differently abled employees (D+E)	3	2	66.67%	1	33.33%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	1	1	100%	0	0.00%
5.	Other than Permanent (G)	0	0	0.00%	0	0.00%
6.	Total differently abled workers (F+G)	1	1	100%	0	0.00%

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No.(B)	%(B/A)
Board of Directors	15	2	13.33%
Key Management Personnel	2	0	-

22. Turnover rate for permanent employees and workers

	FY 2023-24			FY 2022-23			FY 2021-22		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	8.64	12.00	9.08	7.92	7.14	7.82	13.52	8.12	12.84
Permanent Workers	2.46	0.00	2.46	1.55	0.00	1.55	1.21	0.00	1.21

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding/subsidiary /associate companies/joint ventures

Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
Pinnacle Life Science Private Limited	Subsidiary	100%	Business Responsibility initiatives of the parent Company are applicable to the subsidiary companies to the extent that they are material in relation to the business activities of the subsidiaries.
Aarti Speciality Chemicals Limited	Subsidiary	100%	
Pinnacle Chile SpA	Subsidiary	95%	

VI. CSR Details

24.

Whether CSR is applicable as per section 135 of Companies Act, 2013

Yes

Turnover (in)

₹ 2,26,691.14 lakhs

Net worth (in)

₹ 1,17,520.75 lakhs

VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes ,then provide web-link for grievance redress policy)	Current Financial Year FY 2023-24			Previous Financial Year FY 2022-23		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
 Communities	https://www.aartidrugs.co.in/code-of-conduct/	0	0	-	0	0	-
 Investors (other than shareholders)	Yes. https://www.aartidrugs.co.in/stock-information/	0	0	-	0	0	-
 Shareholders	Yes. https://www.aartidrugs.co.in/stock-information/	25	0	-	15	0	-
 Employees and workers	Yes https://www.aartidrugs.co.in/code-of-conduct/	0	0	-	0	0	-
 Customers	Yes https://www.aartidrugs.co.in/contact-us/ https://www.aartidrugs.co.in/code-of-conduct/	2	0	-	6	3	-
 Value Chain Partners	https://www.aartidrugs.co.in/contact-us/ https://www.aartidrugs.co.in/code-of-conduct/	0	0	-	0	0	-
 Other (please specify)	NA	-	-	-	-	-	-

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format



Risk



Opportunity

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Climate Change, Energy & Emission Management	 	There are risks associated with climate change such as manufacturing losses due to climate events but also offers opportunities for innovation in sustainability.	Develop climate resilience strategies and reduce carbon footprint.	Positive and Negative
2.	Sustainable Supply Chain & Responsible Procurement	 	Efficient sourcing reduces costs and environmental impact, while poor practices can lead to supply chain disruptions. Ensuring suppliers adhere to social standards mitigates risks related to labour practices and human rights violations.	Implement stringent supplier assessments and sustainable sourcing practices. Regular audits and collaboration with suppliers to improve environmental performance.	Positive and Negative
3.	Water and wastewater management	 	Effective water management ensures resource availability and reduces environmental impact, while poor management can lead to scarcity and regulatory issues.	Implement water saving technologies and practices. Implemented a mechanism for Zero Liquid Discharge (ZLD). Presently, 8 API manufacturing facilities out of 10 are operating on ZLD basis and remaining 2 are connected to Common Effluent Treatment Plant (CETP) for further treatment. Further, developed Water policy to promote conservation and effective management of water resources.	Positive and Negative
4.	Waste and hazardous materials management	 	Waste generated from our operations consists of hazardous as well as non-hazardous waste. Efficient waste management reduces environmental impact and compliance risks while offering opportunities for resource recovery.	Implement comprehensive waste reduction and recycling programs. Adopted following methods and techniques to manage and dispose of waste material generated at site for preventing pollution, conserving natural resources, protecting human health environment: - Reduction at source - Hazardous waste management - Waste-to-energy - Landfilling - Recycling - Incineration	Positive and Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
5.	Occupational Health & Safety		As a responsible manufacturing Company, it is responsibility of the Company to safeguard the health and safety of individuals. Ensuring occupational health and safety prevents workplace accidents, reduces absenteeism, and complies with regulations.	Implement robust health and safety programs and training. Provision of various safety trainings, safety initiatives and mock drills to ensure proactive hazard identification and risk management.	Negative
6.	Community Impact, Relations and Development		Engaging with local communities through CSR initiatives fosters goodwill, enhances reputation, and contributes to sustainable development.	N.A.	Positive
7.	Product Safety		Ensuring product quality and safety protects consumer health, complies with regulations, and maintains reputation of the Company. Any deficiency in the product quality and safety has high adverse impacts like loss of revenue, reputational damage and regulatory actions.	Implement rigorous quality control and safety testing procedures. Company is focusing in its QA and QC function.	Negative
8.	Corporate Governance	 	Compliance with laws and regulations is essential to have a good corporate image, smooth operations and create long term stakeholder value. Ethical breach or non-compliances can affect stakeholder trust and regulatory action. Strong corporate governance facilitates responsible decision-making and financial transparency, vital for investor attraction.	Implement comprehensive compliance programs and regular audits. Periodical review of Corporate Governance norms to improve the governance standards and compliance with such standards by the Company. Further, Board and Audit committee ensures conflicts of interest are effectively prevented and mitigated crucially.	Positive and Negative
9.	Business Ethics		Upholding high ethical standards mitigates risks related to legal issues and reputational damage.	Implement robust ethics training and compliance programs. We have in place stringent and comprehensive Code of Conduct and policies to ensure ethical behaviour at all levels.	Negative
10.	Economic Performance	 	Strong economic performance ensures business viability, while poor performance can threaten sustainability.	Implement robust financial management and strategic planning.	Positive and Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
11.	Regulatory Compliance		Compliance with laws and regulations prevents legal penalties and maintains operational integrity.	Implement comprehensive compliance programs and regular audits.	Negative
12.	Data Privacy & Integrity		Ensuring data privacy and security protects against breaches, legal penalties, and reputational damage.	Implement robust cybersecurity measures and data protection policies.	Negative
13.	Risk Management	 	Proactive risk management mitigates potential operational, financial, and reputational risks.	Develop and implement comprehensive risk management frameworks. Constituted Risk Management Committee to develop and implement risk mitigation strategies on need basis. Further, the code of conduct along with Whistle Blower Mechanism promotes a culture of transparency and accountability which aids in early detection and resolution of issues thus minimizing legal, financial, and reputational risks.	Positive and Negative



SECTION B MANAGEMENT AND PROCESS DISCLOSURES

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes										
1.	a.	Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)				Yes				
	b.	Has the policy been approved by the Board?(Yes/No)				All Statutory Policies and Codes are adopted considering prevailing Legal requirements and approvals of respective body [Board of Directors, its Committees and Company Management].				
	c.	Web Link of the Policies, if available				Mandatory policies are uploaded on the website of the Company www.aartidrugs.co.in and available at below weblinks: https://www.aartidrugs.co.in/policies-and-related-documents/ https://www.aartidrugs.co.in/sustainability-policies/				
2.	Whether the entity has translated the policy into procedures. (Yes /No)				Yes					
3.	Do the enlisted policies extend to your value chain partners?(Yes/No)				Yes, we have dedicated “Supplier Code of Conduct” which covers all the applicable aspects under the BRSR principles.					
4.	Name of the national and international codes/certifications/ labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.				 Certificates such as ANVISA, KFDA, COFEPRIS , WC  Certificate, TGA, WHO-GMP and TFDA are obtained to facilitate business operations in countries including Brazil, South Korea, Mexico, European nations, Australia , Africa, Middle East, Southeast ASIA and Taiwan  ISO 9001: 2015: Quality Management System  ISO 14001:2015 – Environment Management System  ISO 45001:2018 – Occupational Health & Safety Management System  Good Manufacturing Practice (GMP) compliance across facilities as per various Global Standards for GMP like ICH, EU-GMP, PIC/S, WHO-TRS, etc.  WHO-GMP accreditations received for several plants					
5.	Specific commitments, goals and targets set by the entity with defined timelines, if any.				Yes					
6.	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.				Performance of each of the principles is reviewed periodically by various Committees led by the Management and Board of Directors.					
Governance, leadership and oversight										
7.	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure) Please refer “Chairman's message” and “Management Discussion & Analysis report” in the Annual Report									

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	DIN: 00005618 Shri Prakash M. Patil Chairman, Managing Director & CEO Ph:-022-2401 9025 Email:- mgnt@aartidrugs.com								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Stakeholders Relationship Committee, Corporate Social Responsibility and Risk Management Committee periodically reviews the sustainability initiatives of the Company. Composition of these Committees is mentioned in Corporate Governance Report.								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	The policies of the Company are reviewed periodically/ on a need basis by the Internal Auditors, Department heads/ Director/ Board/ its Committees and any other committees wherever applicable																	
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Status of compliance with all applicable statutory requirements is reviewed by the Board and its committees (as applicable) on a quarterly basis																	

	P1	P2	P3	P4	P5	P6	P7	P8	P9
11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	No. The policies of the Company are subject to audit by Internal Auditors of the Company. The working of the policies is also ensured by the various Department Heads/ Directors/ Committees of the Board/ Other Committees, wherever applicable. We are in the process of undertaking independent third-party assurance for our sustainability performance.								

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

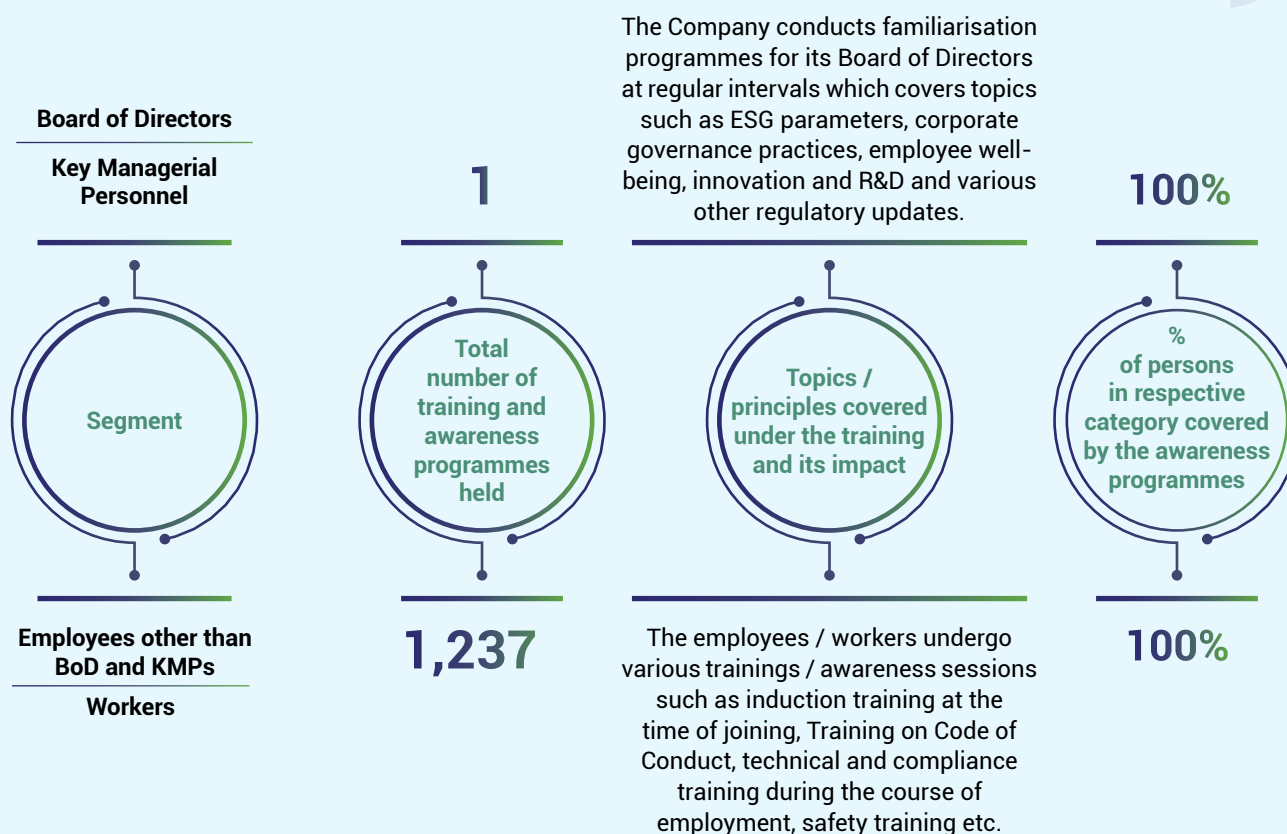
SECTION C PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1

Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year.



2. Details of fines/ penalties/ punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (in ₹)	Brief of the case	Has an appeal been preferred? (Yes/No)
Penalty/fine					
Settlement			NIL		
Compounding fee					

Non-Monetary				
	NGRBC principle	Name of the regulatory/enforcement agencies/judicial institutions	Brief of the case	Has an appeal been preferred? (Yes/No)
Imprisonment				
Punishment			NIL	

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
Not Applicable	

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The Company has a comprehensive and well-defined Code of Conduct, Vigil Mechanism policy and Anti-Bribery and Anti-Corruption Policy that places significant emphasis on anti-corruption and anti-bribery practices. The Company firmly believes that all employees must uphold the principles outlined in these policies, fulfilling their responsibilities with the utmost faith, discretion, and care, while maintaining the highest standards of honesty, integrity, and fairness. The policy strictly prohibits the use or promise of bribery or any other unfair advantage, whether directly or indirectly, to gain or secure benefits.

Code of Conduct is available at the weblink: <https://www.aartidrugs.co.in/code-of-conduct/>

Vigil Mechanism policy and Anti-Bribery and Anti-Corruption Policies are available at the weblink: <https://www.aartidrugs.co.in/policies-and-related-documents/>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2023-24	FY 2022-23
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2023-24		FY 2022-23	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	-	0	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	-	0	-

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable as there were no fines or penalties reported during the reporting period.

8. Number of days of accounts payables ((Accounts payable*365) / Cost of goods/services procured) in the following format:

	FY 2023-24	FY 2022-23
Number of days of accounts payables	91 days	90 days

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2023-24	FY 2022-23
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	9.60%	9.05%
	b. Number of trading houses where purchases are made from	86	69
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	50.11%	59.66%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	15.47%	13.62%
	b. Number of dealers / distributors to whom sales are made	129	97
	c. Sales to top 10 dealers /distributors as % of total sales to dealers / distributors	59.62%	60.90%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	0.91%	1.07%
	b. Sales (Sales to related parties / Total Sales)	2.80%	1.81%
	c. Loans & advances (Loans & advances given to related parties)	0.00%	0.00%
	d. Investments (Investments in related parties / Total Investments made)	100%	100%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Company is in process to design awareness programme for its value chain partners for their inclusion in the sustainability initiatives of the Company

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/ No) If Yes, provide details of the same.

Yes, every Director of the Company discloses his/her concern or interest in the Company or companies or bodies corporate, firms or other association of individuals and any change therein, annually or upon any change, which includes the shareholding. In the Meetings of the Board, the Directors abstain from participating in the items in which they are concerned or interested. Also, the code of conduct of the Company has provision for avoiding conflict of interest. The weblink to access the code of conduct is: <https://www.aartidrugs.co.in/code-of-conduct/>

PRINCIPLE 2

Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2023-24	FY 2022-23	Details of improvements in environmental and social impacts
 R&D	7.06 %	10.10 %	Note 1
 Capex	18.29 %	16.15 %	Note 2

Note 1:

The Company's investments in Research and Development (R&D) have driven significant environmental advancements, highlighting its dedication to sustainable innovation and eco-friendly practices:

Vacuum Oven (121 L):

Energy Efficiency: Integrating vacuum ovens in R&D processes has reduced energy consumption, lowering greenhouse gas emissions and shrinking the Company's carbon footprint.

Waste Reduction: Operating at lower temperatures minimises material degradation during processing, reducing waste and conserving resources.

Refrigerator/Freezer (400 L):

Greenhouse Gas Reduction: The implementation of energy-efficient refrigeration systems reduces energy consumption, contributing to lower greenhouse gas emissions and enhanced energy conservation.

VOC Emission Control: Safe storage of volatile chemicals reduces the release of volatile organic compounds (VOCs), improving air quality.

Fume Hood (3900mm W x 11000mm D x 1580mm H):

Air Quality Improvement: Fume hoods are essential for controlling hazardous emissions in laboratories, preventing the release of harmful fumes, vapours, and dust into the atmosphere.

Regulatory Compliance: Utilising fume hoods ensures compliance with environmental regulations, protecting both the environment and employee health.

Ultrasonic Cleaning Bath:

Water Conservation: Ultrasonic cleaning baths reduce water consumption compared to traditional methods, conserving vital water resources.

Chemical Footprint Reduction: The reduced need for harsh chemicals in ultrasonic cleaning minimises the chemical footprint, promoting environmentally friendly operations.

Through these R&D investments, the Company fosters a culture of sustainable innovation, emphasising environmental stewardship across its operations. By prioritising energy efficiency, waste reduction, and pollution control, the Company actively contributes to a greener future while maintaining a competitive edge in the industry.

Note 2:

The Company's capital investments have brought about substantial environmental and social benefits, underscoring its commitment to sustainability and responsible business practices. Key benefits include:

1. Enhanced Energy Efficiency and Emission Reduction:

Investments in boiler smoke tube replacements and condenser systems have boosted operational efficiency, lowering fuel consumption and reducing greenhouse gas emissions. These actions help mitigate climate change and support the global transition to a low-carbon future.

2. Solvent Recovery and Waste Management:

The installation of solvent recovery units and solid waste sheds has cut down on volatile organic compound emissions and hazardous waste. This eco-friendly approach conserves natural resources, reduces pollution, and contributes to a healthier environment.

3. Fire Hydrant and Stack Monitoring Systems:

Reliable fire hydrant systems and stack monitoring technology protect against potential environmental damage and harmful pollutant emissions. These systems ensure compliance with environmental regulations, maintain air quality, and promote public health.

4. Closed System Operations and Ultrasonic Cleaning:

Adoption of closed SCADA systems and ultrasonic cleaning baths minimises VOC emissions and conserves water resources. These sustainable practices align with environmental standards and support responsible water usage.

5. Efficient Co-Generation Boiler and Chimney Design:

Co-generation boilers, which produce heat and electricity simultaneously, make efficient use of waste heat. Chimneys designed for higher altitude emissions disperse harmful gases, reducing their impact on the local environment and public health.

6. Reverse Osmosis for Water Conservation:

Reverse osmosis systems not only reduce water consumption but also decrease chemical use, safeguarding water resources and promoting responsible water management.

7. Air Preheaters and Scrubbers for Cleaner Air:

Air preheaters recover waste heat from flue gases, cutting fuel consumption, while scrubbers absorb pollutants, improving air quality, mitigating climate change, and enhancing the health of workers and nearby communities.

8. Social Benefits:

Investments in occupational health centres and safety equipment, such as SCBA sets, reflect the company's dedication to employee well-being. These measures enhance worker health, reduce healthcare costs, and foster a safer, more productive work environment.

In conclusion, the Company's capital investments have delivered a range of environmental and social benefits. By embracing sustainable practices and advanced technologies, the Company is making meaningful contributions to environmental protection, resource conservation, and social well-being. These initiatives align with ESG principles and position the Company as a responsible corporate citizen, earning the trust and support of stakeholders and investors.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

b. If yes, what percentage of inputs were sourced sustainably?

Yes, We have prepared a questionnaire as a part of integrated management system to assess the critical suppliers. Some checks regarding the sustainability are applied in the questionnaires. Based on the questionnaires the vendors are assessed. This practice is implemented on the partial scale. As per convenience we will implement the system on commercial scale.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Aarti Drugs is committed to going beyond compliance in its waste management practices. We have taken numerous steps to minimize waste generation and to ensure that our waste is managed in an environmentally responsible manner. Our waste management practices are based on the following principles:

- a. **Plastic (Including packaging):** Collection and segregation - Plastic waste generated at site is segregated as per categories assigned in the plastic waste rule and collected in waste storage area. This collected plastic is sent to the certified plastic recycling companies where it is melted down in to new products and recycled. Also, we are following the practice for reuse of plastic within the facility such as, reuse bags for same material, re-purposing containers for storage etc. All the plastic waste management protocols are followed as per Extended Producer Responsibility.
- b. **E-Waste management:** E-waste collection points are established within our Company. All the data to product sensitive information from e-waste is securely wiped out from collected waste. Then the e-waste is handover to certified e-waste recycling companies to recycle electronic components. Inventory of e-waste generated and stored for tracking and accountability.
- c. **Hazardous waste management:** Hazardous waste is collected and stored within dedicated hazardous waste storage area at site. This hazardous waste is disposed as per the disposal path and agencies assigned by the pollution control boards. All the waste is disposed with compliance to the Hazardous Waste Management and Trans-boundary rule 2016. Record of hazardous waste disposal is generated online and it is accessible to pollution control board all the time.

In addition to that, we are timely implementing any changes in the rules and acts.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Yes, Extended Producer Responsibility (EPR) is applicable to the entity. Plastic waste management plan and details in line with the EPR is submitted to the Pollution Control Board under Brand Owner and Importer category.



Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product / Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
NA					

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product / Service	Description of the risk / concern	Action Taken
NA		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

In our production process, we prioritise sustainability by recycling solvents and selected raw materials. We recycle around 43-45% solvents and selected raw material.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

		FY 2023-2024			FY 2022-2023		
		Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics(including packaging)		-	-	174.85	-	-	218.27
E-waste		-	-	-	-	-	-
Hazardous waste		-	-	36,164.04	-	-	30,399.08
Other waste (Fly ash)		4,110.79	-	-	4,354.68	-	-

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Since the Company is engaged in pharmaceutical sector, we do not reclaim products for reusing, recycling and disposing them at the end of their life.

PRINCIPLE 3

Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators**1. a. Details of measures for the well-being of employees:**

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B / A)	No. (C)	% (C / A)	No. (D)	% (D / A)	No. (E)	% (E / A)	No. (F)	% (F / A)
Permanent employees											
Male	663	663	100%	663	100%	N.A	N.A	-	-	-	-
Female	103	103	100%	103	100%	103	100%	-	-	-	-
Total	766	766	100%	766	100%	103	100%	-	-	-	-
Other than Permanent employees											
Male	612	-	-	612	100%	-	-	-	-	-	-
Female	94	-	-	94	100%	-	-	-	-	-	-
Total	706	-	-	706	100%	-	-	-	-	-	-

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B / A)	No. (C)	% (C / A)	No. (D)	% (D / A)	No. (E)	% (E / A)	No. (F)	% (F / A)
Permanent workers											
Male	297	297	100%	297	100%	N.A	N.A	-	-	-	-
Female	1	1	100%	1	100%	1	100%	-	-	-	-
Total	298	298	100%	298	100%	1	100%	-	-	-	-
Other than Permanent workers											
Male	953	-	-	953	100%	-	-	-	-	-	-
Female	39	-	-	39	100%	-	-	-	-	-	-
Total	992	-	-	992	100%	-	-	-	-	-	-

- c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format-

	FY 2023-24	FY 2022-23
Cost incurred on well- being measures as a % of total revenue of the Company	0.10%	0.12%

2. Details of retirement benefits, for Current and Previous Financial Year.

Benefits	FY 2023-24			FY 2022-23		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI	8.88%	20.13%	Y	4.79%	12.87%	Y
Others - Please Specify	-	-	-	-	-	-

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

As per the nature of ADL's business, differently abled employees cannot be recruited in the manufacturing plant operations activities. However, the Company gives opportunities to differently abled persons in office premises. The office areas have lifts making it accessible with people with mobility impairment.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Company has internal guidelines for equal opportunity. The Company provides equal opportunities to all its employees and to all eligible applicants for employment in the Company. The Company has "Anti-Discrimination Policy" as well as "Human Rights policy" as a part of HR Policies to safeguard employees from any discrimination on basis of disabilities. Further, Company has "People Policy" which also outlines zero-tolerance against any form of discrimination. For more details refer to the "People Policy" available on the website of the Company at the weblink: <https://www.aartidrugs.co.in/sustainability-policies/>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

 Male  Female  Total

Permanent Employees			Permanent Workers		
Return to work rate	Retention rate	Gender	Return to work rate	Retention rate	
N.A.	N.A.		N.A.	N.A.	
100%	100%		100%	100%	
100%	100%		100%	100%	

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

The Company has a 'Whistle Blower Policy' for redressal of grievances of employees. The policy covers and promotes responsible vigil mechanisms regarding aspects of unethical behaviour, actual or suspected fraud, actual or suspected leak of UPSI, violation of the Company's Code of Conduct, abuse, wrongdoing or violation of any Indian law. It also provides for adequate safeguards against the victimization of employees and allows direct access to the chairperson of the audit committee.

The same can be found at <https://www.aartidrugs.co.in/policies-and-related-documents/>

A short summary of procedure to be followed to resolve routine complaints is given below.

Permanent Workers	Reporting to the field supervisor and then field supervisor taking it up with Factory Manager
Other than Permanent Workers	Reporting to the field supervisor and then field supervisor taking it up with Factory Manager
Permanent Employees	Reporting to reporting manager for redressal of the grievances or to report the grievance at HRIS portal
Other than Permanent Employees	Reporting to reporting manager for redressal of the grievances

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2023-24			FY 2022-23		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	%(B/ A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	%(D/C)
Total Permanent Employees	766	0	NA	731	0	NA
- Male	663	0	NA	634	0	NA
- Female	103	0	NA	97	0	NA
Total Permanent Workers	298	146	48.99%	272	90	33.09%
- Male	297	146	49.16%	271	90	33.21%
- Female	1	0	0.00%	1	0	0.00%

8. Details of training given to employees and workers:

Category	FY 2023-24					FY 2022-23				
	Total (A)	On health and Safety Measures		On Skill Upgradation		Total (D)	On health and Safety Measures		On Skill Upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	1,275	1,275	100%	1,275	100%	1,212	1,212	100%	1,212	100%
Female	197	197	100%	197	100%	187	187	100%	187	100%
Total	1,472	1,472	100%	1,472	100%	1,399	1,399	100%	1,399	100%
Workers										
Male	1,250	1,250	100%	1,250	100%	1,155	900	77.9%	900	77.9%
Female	40	40	100%	40	100%	36	29	80.0%	29	80.0%
Total	1,290	1,290	100%	1,290	100%	1,191	929	78.0%	929	78.0%

9. Details of performance and career development reviews of employees and workers:

Category	FY 2023-24			FY 2022-23		
	Total (A)	Number (B)	% (B/A)	Total (C)	Number (D)	% (D/C)
Employees						
Male	1,275	1,275	100%	1,212	1,212	100%
Female	197	197	100%	187	187	100%
Total	1,472	1,472	100%	1,399	1,399	100%
Workers						
Male	1,250	1,250	100%	1,155	1,155	100%
Female	40	40	100%	36	36	100%
Total	1,290	1,290	100%	1,191	1,191	100%

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage of such system?

Aarti Drugs Limited (ADL) is engaged in the manufacturing of Active Pharmaceutical Ingredients (APIs), Pharma Intermediates, Specialty Chemicals and also produces Formulations with its wholly-owned subsidiary – Pinnacle Life Science Private Limited. With the vision to adopt processes supported by proven technologies, which are cost effective and safe. We are committed to develop and continually improve our safety systems and culture.

We have a comprehensive Health, Safety and Environment Policy to demonstrate our commitment to maintain the world-class standards of health and safety in line with our core values of 'Care', 'Integrity' and 'Excellence'. We have an implemented occupational health and safety management system across all our sites. We strive to make our workplace injury and incident free by inculcating safety culture at all levels of the organisation. We also organise various safety trainings, safety initiatives, mock drills and campaigns in the Company. At ADL, we are highly committed to creating a safe & healthy workplace and focusing on the continual improvement of the safety & health standards of employees and contractors.

ADL has implemented programmes on safety & occupational health which incorporates best-in-class practices related to occupational health. At ADL, various leading and lagging indicators are implemented and regularly monitored through the top management including safety studies, safety training, audits, and Incident investigations. We are certified with Integrated Management System of ISO 9001, ISO 14001 and ISO 45001. Safe and reliable operation is assured by the inherent safe design of plants.

Our infrastructure and trained man-power is equipped to handle any on-site and off-site emergency. We have mutual aid signed with neighbouring industries and provide support to other industries and communities in case of emergency situations.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

We have engaged experienced and competent people for plant operation, and to perform safety studies and assessments such as HAZOP, HIRA and other risk studies as required for process validation. We have effectively implemented safety programmes like management of changes, process management, pre-startup safety review, General plant conditions, Job safety analysis, work permit system, cross site safety audits, safety rounds by key plant personnel etc.

We have ensured safety trainings and vigilance throughout our operations and validate the effectiveness of the safety programmes through internal and external safety audits.

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

At ADL, we have implemented safety programmes to identify the unsafe acts and unsafe conditions through Behaviour Based Safety (BBS), General Plant Conditioning (GPC), Near Miss Reporting (NMR), Incident Managements and global CAPA compliance.

All workers have access to report hazards and contributing towards enhancement of safety culture.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Our organisation has secured a Mediclaim Insurance Policy to provide personal health and accidental treatment benefits for all employees. Additionally, a specialised Employees State Insurance Corporation (ESIC) Mediclaim policy has been acquired for contract employees to cover their hospital treatments. Amid the Covid-19 pandemic, we initiated bus transportation services for employees commuting between home and work. Furthermore, we distributed masks and hand sanitizers to nearby hospitals and government offices, and proudly donated an Oxygen Plant to Rajawadi Hospital in Chembur, Mumbai.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category*	FY 2023-24	FY 2022-23
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	00	00
	Workers	00	00
Total recordable work-related injuries	Employees	00	00
	Workers	00	00
No. of fatalities	Employees	00	00
	Workers	01	00
High consequence work-related injury or ill-health (excluding fatalities)	Employees	00	00
	Workers	00	00

*Including in the contract workforce

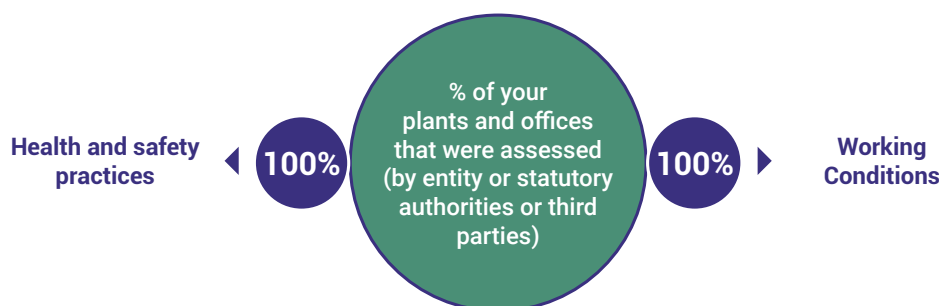
12. Describe the measures taken by the entity to ensure a safe and healthy work place.

- The Company is using Hazard Operability (HAZOP) for process related hazards, Hazard Identification and Risk assessment (HIRA) for routine and non-routine activities and Health Risk Assessment (HRA) for identifying exposure related activities.
- Regular site review, inspections and audits to assess safety preparedness
- Regular training on occupational health & safety training

13. Number of Complaints on the following made by employees and workers:

Category	FY 2023-24			FY 2022-23		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	NA	0	0	NA
Health & Safety	0	0	NA	0	0	NA

14. Assessments for the year.



15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

There is only one fatal reportable incident that occurred in past financial year. Though there were First Aid, Medically Treated related incidents during the year which have been investigated and closed with necessary corrective and preventive actions.

Following corrective and preventive actions (CAPA) are taken in all our units to avoid similar type of fatal incidents in future:

- Engineering Control- Stainless steel tubing is provided instead of rubber hose pipe in critical equipments/ machines in which Pneumatic, Electrical, Potential, Kinetic, Hydraulic types of hazardous energies are used.
- Critical equipments with hazardous energies are identified at all sites.
- SOP- Operation of plate and frame filter press and similar machines are updated including routine activities, non-routine activities.
- Training- Knowledge/ Skill is developed on critical equipments (Operation & maintenance)
- Preventive maintenance schedule is strictly implemented for equipments/ instruments in critical machines.
- Lock Out Tag Out (LOTO) procedure is developed at all sites to de-energise all hazardous energies at critical equipments/ machines.
- Behaviour Based Safety - Unsafe Act/ Unsafe Conditions are identified during operation and maintenance of critical machines.

To develop Safety Culture in all our units following steps are taken and in progress:

- Safety Campaign, Safety Training, Gate Safety Meeting and Safety Thought for Day are started in all our units regularly to provide awareness regarding safety.
- Safety Alert of every incident sending to all our units and implemented the CAPA of incident in all our units to avoid similar incident in future.
- General Safety Management and Environment Management related SOPs are implemented and followed in all our units to improve safe work practices and healthy environment in work place.

Leadership Indicators

1. **Does the entity extend any life insurance or any compensatory package in the event of death of (A)Employees(Y/N) (B) Workers(Y/N).**

Yes

2. **Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.**

We are ensuring that vendors in our value chain are deducting and submitting the required statutory dues on time. Also, we are approving the vendors based on the statutory dues paid by their firm on periodic basis.

Also, the entity ensures adherence to statutory compliances related to workers such as timely wage payment and Provident Fund.



3. Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2023-24	FY 2022-23	FY 2023-24	FY 2022-23
Employees	0	0	0	0
Workers	1	0	0*	0

*The Company offered Job proposal to the family member of the affected worker, however, the same was not accepted by the family member.

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Retiring employees are given an option to continue employment even after their retirement age has been crossed.

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	The assessment of value chain partners is underway
Working Conditions	

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Following actions are underway to improve Environment, Health and Safety at value chain partners:

- Vendor EHS Assessment
- Vendor training on sustainable procurement
- Vendor EHS Audits
- Mapping Carbon Footprint of suppliers



Essential Indicators**1. Describe the processes for identifying key stakeholder groups of the entity.**

Our Company has a process for identifying key stakeholder groups that is based on the following steps:

- a. We define the Company's business and its operations. This helps us to identify the groups of people who are most directly affected by the Company's activities.
- b. We identify the groups of people who have a vested interest in the Company's success. These groups of people are likely to be the most important stakeholders, as they have the potential to impact the Company's performance.
- c. We assess the influence and impact of each stakeholder group. This helps us to prioritise our stakeholder engagement efforts.
- d. We develop a stakeholder engagement strategy. This strategy helps us to build relationships with our stakeholders and to ensure that we are meeting their needs.

We have identified the following key stakeholder groups:

-  **Employees:** Employees are the lifeblood of our Company, and they play a critical role in our success. Employees are also the most directly affected by the Company's activities, so they are likely to be one of the most important stakeholder groups.
-  **Customers:** Customers are the people who buy our products or services. Customers are also the ones who are most affected by the quality of our products or services. Therefore, customers are another important stakeholder group that we need to consider.
-  **Suppliers:** Suppliers provide us with the raw materials and other inputs that we need to produce our products or services. Suppliers are also affected by the Company's activities, as they may be impacted by the Company's demand for their products or services.
-  **Investors and Shareholders:** Investors and shareholders are the people who own the Company. They are interested in the Company's performance, as they want to see their investment grow in value. Therefore, investors and shareholders are another important stakeholder group that we need to consider.
-  **Communities:** The communities in which we operate are also important stakeholders. These communities are affected by the Company's activities, as they may be impacted by the Company's pollution or its impact on the local economy.
-  **Government and regulatory bodies:** Government and regulatory bodies are also important stakeholders, as they have the power to regulate the Company's activities. We need to work with government and regulatory bodies to ensure that we are in compliance with the law.

We believe that these stakeholder groups are the most important to our Company's success. We will continue to engage with these groups in order to build strong relationships and to ensure that we are meeting their needs.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

 Stakeholder Group	 Employees	 Customers	 Suppliers
Whether identified as Vulnerable & Marginalised Group (Yes/No) Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	No 1. Emails and Meetings 2. Employee Satisfaction Surveys 3. Training Programmes 4. Performance appraisal reviews 5. Grievance Redressal Mechanisms	No 1. Customer feedback 2. Customer satisfaction survey 3. Phone calls, emails and Meetings 4. Signed contracts 5. Exhibitions, Events 6. Customer visits & audits 7. Websites	No 1. Emails and Meetings 2. Vendor Assessment & Review 3. Signed Contracts
Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify) Purpose and scope of engagement including key topics and concerns raised during such engagement	 1. Fair wages and Rewards 2. Work life Balance 3. Training & Skill development 4. Career Growth 5. Occupational Health and Safety 6. Job Security 7. Transparent Communication	 1. Timely Delivery 2. Quality 3. Pricing 4. Post-sales Support 5. Product related certifications 6. EHS Management Systems	 1. Timely Payment 2. Continuity of orders 3. Capacity Building 4. Transparency



Investors & Shareholders

No

1. Shareholders Meetings
2. Publishing requisite notices/press releases/ other communications through Newspaper Advertisements/ e-mails/ websites
3. Annual Reports
4. Company's Website/ dissemination of requisite information on website of stock exchanges and depositories
5. Investor meet



1. Sustainable Growth & Returns
2. Risk Management
3. Corporate Governance
4. Market Share
5. Operational Performance



Communities

No

1. Training & Workshops
2. Regular Meetings
3. Need Assessment & Satisfaction Surveys
4. CSR Reports



1. Local Employment
2. Environmental pollution control
3. Infrastructure development
4. Training & Livelihood programmes
5. Participation in social services



Government and Regulatory bodies

No

1. Annual Reports
2. Statutory filings
3. Communication with regulatory bodies
4. Formal Dialogues



1. Tax
2. Compliance with laws, rules & regulations
3. Employment
4. Pollution Prevention
5. Local Economy Growth

Leadership Indicators

1. **Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

Respective business / functional heads engage with the stakeholders on various ESG topics and the relevant feedback from such consultation is provided to the Board, wherever applicable.

2. **Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes. We have framed our ESG agenda through materiality assessment process which are based on stakeholder consultations. Material topics were shortlisted and prioritised based on their impact on our stakeholders and our business. For details regarding the materiality assessment kindly refer to point number 26 of Section A of this report.

3. **Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.**

The Company through its Corporate Social Responsibility (CSR) initiatives focus the local areas for the upliftment of the weaker section of the society.



PRINCIPLE 5 Businesses should respect and promote human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

The Company is currently preparing policies for conducting and providing trainings on human rights to each of its employees and workers at the time of joining and a yearly training on all such topics. During the FY 2023-24 sensitisation and awareness training on Prevention of Sexual Harassment were imparted to the employees (permanent and other than permanent) and permanent workers. Company is in process to develop such training programme for other than permanent workers as well.

Category	FY 2023-24			FY 2022-23		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	766	766	100%	0	0	0.00%
Other than permanent	706	706	100%	0	0	0.00%
Total Employees	1,472	1,472	100%	0	0	0.00%
Workers						
Permanent	298	298	100%	0	0	0.00%
Other than permanent	992	0	0.00%	0	0	0.00%
Total Workers	1,290	298	23.10%	0	0	0.00%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2023-24					FY 2022-23				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	%(C/A)		No. (E)	%(E/D)	No. (F)	%(F/D)
Employees										
Permanent	676					647				
Male	608	118	19%	490	81%	581	104	18%	477	82%
Female	68	17	25%	51	75%	66	28	42%	38	58%
Other than permanent	700					662				
Male	609	609	100%	0	0%	576	576	100%	0	0%
Female	91	91	100%	0	0%	86	86	100%	0	0%

Category	FY 2023-24					FY 2022-23				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	%(C/A)		No. (E)	%(E/D)	No. (F)	%(F/D)
Workers										
Permanent	298					272				
Male	297	32	11%	265	89%	271	32	12%	239	88%
Female	1	0	0%	1	100%	1	0	0%	1	100%
Other than permanent	992					919				
Male	953	73	8%	880	92%	884	720	81%	164	19%
Female	39	39	100%	0	0%	35	35	100%	0	0%

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (₹ in lakhs)	Number	Median remuneration/ salary/ wages of respective category (₹ in lakhs)
Board of Directors (BoD)*	5	255.42	0	-
Key Managerial Personnel	2	66.33	0	-
Employees other than BoD and KMP	656	4.36	103	3.66
Workers	297	5.23	1	5.50

* includes the remuneration of Executive Directors only.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2023-24	FY 2022-23
Gross wages paid to females as % of total wages	8.34%	7.90%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, Company has constituted Ethics Committee and also appointed Ethics Officer which is responsible for addressing human rights issues. Further, Company has a Whistle Blower policy. The said policy has been posted at the website of the Company and the weblink thereto is: <https://www.aartidrugs.co.in/policies-and-related-documents/>

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Grievances related to human rights can be submitted to Ethics Officer or Human resource department. Also Whistle Blower Mechanism is available to address major issues. A detailed process has been laid down in the whistle blower policy. The said policy has been posted at the website of the Company and the weblink thereto is: <https://www.aartidrugs.co.in/policies-and-related-documents/>

Further, HRIS portal is also available through which employees can raise their grievances.

6. Number of Complaints on the following made by employees and workers:

Category	FY 2023-24			FY 2022-23		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	0	0	-	0	0	-
Discrimination at workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour / Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other human rights related issues	0	0	-	0	0	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2023-24	FY 2022-23
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	0	0
Complaints on POSH as a % of female employees / workers	-	-
Complaints on POSH upheld	0	0

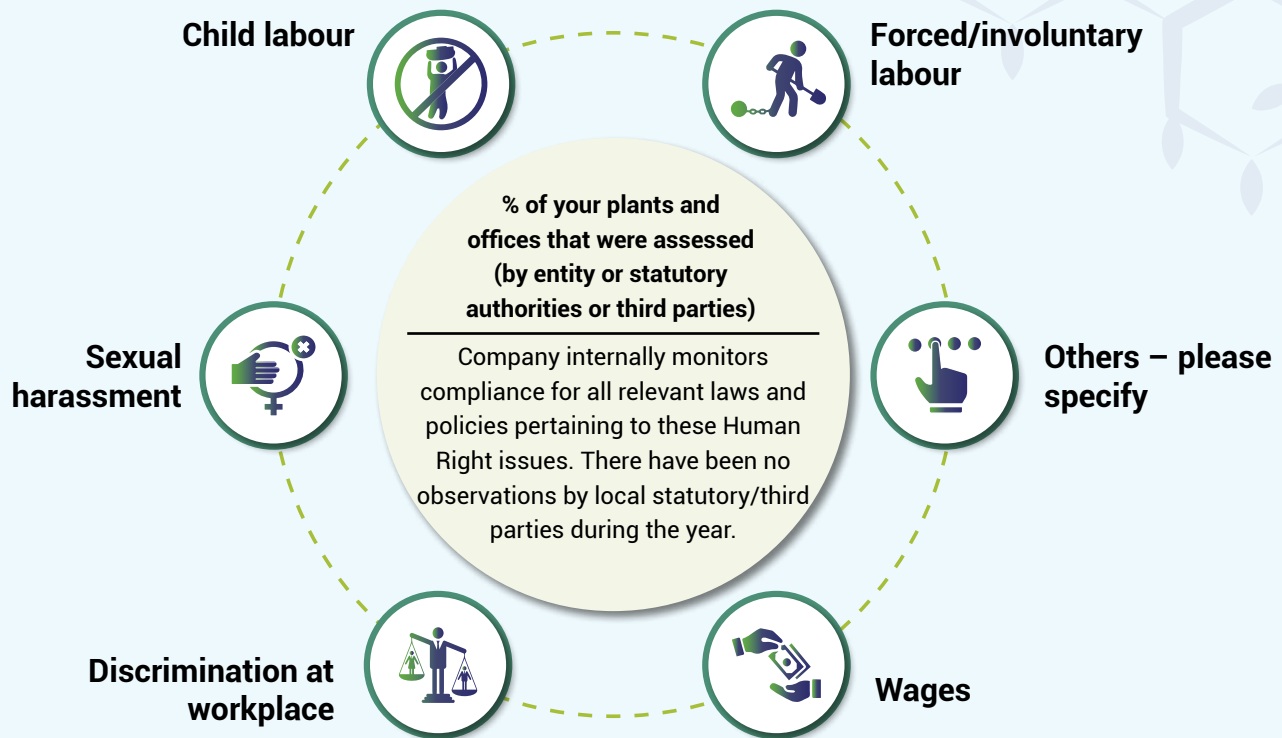
8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company has implemented Whistle Blower Mechanism where any discrimination and harassment cases can be directly brought to the notice of Board of Directors. The policy provides adequate safeguard against victimization of the complainant(s). Similarly, in sexual harassment cases, there are Internal Complaints Committees (ICCs) and relevant policies to ensure that complainant(s) shall not be met with adverse consequences.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

The Company's Code of Conduct and Supplier Code of Conduct are applicable to all the stakeholders which cover the issues pertaining to Human Rights as well.

10. Assessments for the year:



11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

There were no significant risks or concerns arising from the assessments at the question 10 above.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints

Not applicable as we did not receive any complaint or any grievance during FY 2023-24 relating to the Human rights.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

No such due diligence was conducted. Company is in process to design the Human rights due-diligence.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes

4. Details on assessment of value chain partners:

The Company is in process for formation of a procedure for assessing value chain partners for Child Labour, Forced/ involuntary labour, Sexual harassment, Discrimination at workplace, Wages, etc. The Company's Code of Conduct and Supplier Code of Conduct are applicable to all the stakeholders which cover the issues pertaining to Human Rights as well.

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

NIL

PRINCIPLE 6

Businesses should respect and make efforts to protect and restore the environment

Essential Indicators**1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Parameter	FY 2023-24	FY 2022-23
From renewable sources		
Total electricity consumption (A)	Nil	Nil
Total fuel consumption (B)	Nil	Nil
Energy consumption through other sources (C)	Nil	Nil
Total energy consumed from renewable sources (A+B+C)	Nil	Nil
From non-renewable sources		
Total electricity consumption (D)	2,93,984	2,81,500
Total fuel consumption (E)	8,76,436	8,84,276
Energy consumption through other sources (F) (Steam Purchase)	3,54,122	3,32,125
Total energy consumed from non- renewable sources (D+E+F)	15,24,542	14,97,903
Total energy consumed (A+B+C+D+E+F)	15,24,542	14,97,903
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	$= 15,24,542 / 2,26,691.14$ $= 6.73 \text{ Gigajoules per}$ $1,00,000 \text{ of Sales}$	$= 14,97,903 / 2,49,797.02$ $= 5.99 \text{ Gigajoules per}$ $1,00,000 \text{ of Sales}$
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	-	-
Energy intensity in terms of physical output	$= 15,24,542 / 32,900.87$ $= 46.34 \text{ Gigajoule/MT of}$ physical output	$= 14,97,903 / 33,380$ $= 44.87 \text{ Gigajoule/MT of}$ physical output
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No, we do not have any site as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India.

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilo litres)		
(i) Surface water	0	0
(ii) Groundwater	0	0
(iii) Third party water (MIDC Water)	4,25,435	4,30,711
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilo litres) (i + ii + iii + iv + v)	4,25,435	4,30,711
Total volume of water consumption (in kilolitres)	4,25,435	4,30,711
Water intensity per rupee of turnover (Total water consumption/Revenue from operations)	= 4,25,435/2,26,691.14 = 1.88 Kilolitres per 1,00,000 of Sales	= 4,30,711/2,49,797.02 = 1.72 Kilolitres per 1,00,000 of Sales
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	-	-
Water intensity in terms of physical output	4,25,435/32,900.87 =12.93 KL/MT of product	4,30,711/33,380 = 12.90 KL/MT of product
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No



4. Provide the following details related to water discharged:

Parameter	FY 2023-24	FY 2022-23
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) To Groundwater	-	-
- No treatment	-	-
- <i>With treatment – please specify level of treatment</i>	-	-
(iii) To Seawater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties - Common Effluent Treatment Plant for further treatment	-	-
- No treatment	-	-
- With treatment – Primary, Secondary, Tertiary, and sent to CETP for further treatment	14,395	20,530
(v) Others	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	14,395	20,530

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes, we have implemented a mechanism for Zero Liquid Discharge (ZLD). Currently, we are operating our 08 API manufacturing facilities out of 10 on a Zero Liquid Discharge (ZLD) basis and remaining 02 facilities are connected to Common Effluent Treatment Plant (CETP) for further treatment.

Company's major manufacturing plants have Zero-Liquid Discharge (ZLD) wherein the waste water is treated and reused. The quality of effluent discharge where applicable is ensured as per regulatory requirements at all applicable locations. Aarti Drugs Limited has installed Multiple Effect Evaporator (MEE), Mechanical Vapour Recompression (MVR), Effluent Treatment Plant (ETP) for the effluent treatment and on-site distillation setup to achieve Zero Liquid Discharge.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2023-24	FY 2022-23
NOx	Tonnes	2.03	4.20
SOx	Tonnes	19.78	24.13
Particulate matter (PM)	Tonnes	26.55	32.80
Persistent organic pollutants (POP)	-	NA	NA
Volatile organic compounds (VOC)	-	-	-
Hazardous air pollutants (HAP)	-	NA	NA
Others – please specify	-	NA	NA

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2023-24	FY 2022-23
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	54,834	56,820
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	80,250	76,414
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)		= (54,834 + 80,250) / 2,26,691.4 = 0.59 tonnes per 1,00,000 of turnover	(56,820+76,414) / 2,49,797.02 = 0.5333 tonnes per 1,00,000 of turnover
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)		–	–
Total Scope 1 and Scope 2 emission intensity in terms of physical output		(54,834 + 80,250) / 32,900.87 =4.10 Metric tonnes of CO ₂ Equivalent / MT of product	(56,820+76,414) / 33,380 =3.99 Metric tonnes of CO ₂ Equivalent / MT of product
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		–	–

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Aarti Drugs Limited is committed to climate action and to create a positive impact for the community and environment in which it operates. In line with the aspirations, Aarti Drugs Limited has committed to provide the pathway to develop integrated solutions for becoming carbon neutral. This includes phasing out coal-based boilers and ramping up renewables and other forms of clean energy, investments in improvement measures and operational efficiency technology etc.

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2023-24	FY 2022-23
Total Waste generated (in metric tonnes)		
Plastic waste (A)	174.85	218.27
E-waste (B)	-	-
Bio-medical waste (C)	-	-
Construction and demolition waste (D)	-	-
Battery waste (E)	-	-
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	36,164.04	30,399.08
Other Non-hazardous waste generated (H) - Fly ash	4,110.79	3,900.85
Total (A + B + C + D + E + F + G + H)	40,449.68	34,518.2
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	= 40,449.68 / 2,26,691.14 = 0.178 MT per 1,00,000 of Sales	= 34,518.2 / 2,49,797.02 = 0.14 MT per 1,00,000 of Sales
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	-	-
Waste intensity in terms of physical output	=40,449.68 / 32,900.87 = 1.23 MT/MT of product	=34,518.2/33,380 = 1.034 MT/MT of product
Waste intensity (optional) – the relevant metric may be selected by the entity		
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled (Plastic waste)	174.85	218.27
(ii) Re-used (Fly ash)	4,110.79	3,900.85
(iii) Other recovery operations	0	0
Total	4,285.64	4,119.12

Parameter	FY 2023-24	FY 2022-23
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	170.19	311.89
(ii) Landfilling	4,043.68	3,614.38
(iii) Other disposal operations (Co-processing)	6,754.801	5,288.99
iv) Other disposal operations (Sale to Recycler)	25,195.37	21,183.82
Total	36,164.04	30,399.08

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Aarti Drugs Limited has robust waste management practices and aims to reduce the waste to landfill. Following are the methods and techniques used to manage and dispose of waste material generated at site for preventing pollution, conserving natural resources, protecting human health environment :

Reduction at source

This is the hazardous waste reduction technique in which hazardous waste is reduced at the source by implementing recycling the reactants up to the greater extent, developing the process by research, use of reusable products, and reducing packing material.

Hazardous waste management

This involves specialized practices such as,

- (i) Assigned dedicated facilities according to categories of wastes.
- (ii) Safe handling procedures, labelling of HW bags and drums.
- (iii) Following manifest system as per MPCB.

Waste - to - energy

Various hazardous waste generated at our factory is having high calorific value are segregated at site and sent to cement industry for energy recovery through incineration.

Landfilling

The HW having low calorific value and other parameters within the limit of landfilling criteria are sent for CHWTSDF facility & then safely dispose of material by burying in to land and covered by soil usually.

Recycling

The waste which are having the potential reusable content that can be recovered and reused.

Incineration

Some of the hazardous waste that require incineration in a controlled condition are sent to the CHWTSD facility where they dispose the hazardous waste through incineration.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not Applicable

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not Applicable

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes, during the reporting period the Company was in compliance with applicable environmental norms.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- Name of the area
- Nature of operations
- Water withdrawal, consumption and discharge in the following format:

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	0	0
(iii) Third party water	4,25,435	4,30,711
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres)	4,25,435	4,19,837
Total volume of water consumption (in kilolitres)	4,25,435	4,19,837

Parameter	FY 2023-24	FY 2022-23
Water intensity per rupee of turnover (Water consumed / turnover)	= 4,25,435/2,26,691.14 = 1.88 Kilolitres per 1,00,000 of Sales	= 4,30,711/2,49,797.02 = 1.72 Kilolitres per 1,00,000 of Sales
Water intensity (optional) – the relevant metric may be selected by the entity		
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) Into Groundwater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) Into Seawater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties – Common Effluent Treatment Plant for further treatment	-	-
- No treatment	-	-
- With treatment – Primary, Secondary, Tertiary, and sent to CETP for further treatment	14,395	20,530
(v) Others	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	14,395	20,530

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

The Company is not tracking Scope 3 emissions currently.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
MVR	We have completed the erection activities of MVR & commissioning activities are under progress to achieve zero liquid discharge. MVR has much higher steam economy than conventional evaporators.	MVR has much higher steam economy than conventional evaporators.
IE-3 Motors	We have started the use of IE-3 motors, these motors have more efficiency than IE-2 motors	Power saving
MEE	We have installed Three & two stage multiple effect evaporators in our units for effluent treatment to achieve zero liquid discharge. It has around 60% lower energy requirement than conventional evaporation set up.	MEE has much higher steam economy than conventional evaporators.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Aarti Drugs Limited has a robust Business Continuity Plan (BCP). In addition, workforces are continuously trained by carrying out mock drills and disaster management exercises for possible emergency situations.



6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

The pharmaceutical industry has significant impact on the environment through the entire value chain, from R&D to production and packaging and disposal. Some of the significant impacts are -

a

Water pollution -

Aarti Drugs Limited is operating majority of manufacturing plant on Zero Liquid Discharge (ZLD) and we are strictly following the effluent discharge norms laid down by pollution control board for those unit which connected to CETP for further treatment.

b

Air pollution -

Scrubbers are provided for each stack at strategic locations. Online Continuous Monitoring System implemented at site.

c

Land pollution -

Hazardous wastes are disposed through only authorized Waste Management facilities.

d

Packaging waste -

Packaging waste is disposed only after decontamination. Infrastructure developed at site for decontamination.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

The following actions are underway to improve Environment, Health and Safety at value chain partners:

- i. Vendor EHS Assessment
- ii. Vendor training on sustainable procurement
- iii. Vendor EHS Audits
- iv. Mapping Carbon Footprint of suppliers



PRINCIPLE 7

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.
- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Name of the trade and industry chambers/ associations		Name of the trade and industry chambers/ associations
	State	Federation of Indian Chambers of Commerce and Industry (FICCI)
Bombay Chamber of Commerce		Indian Institute of Chemical Engineering (IICChE)
Tarapur Industrial Manufacturers Association (TIMA), Maharashtra India	Reach of trade and industry chambers/ associations (State/National)	PHARMEXCIL -Pharmaceuticals Export Promotion Council
Vapi Industrial Association		CHEMEXCIL – Basic Chemicals, Pharmaceuticals & Cosmetics Export Promotion Council
	National	Federation of Indian Export Organisation
		Indian Merchants Chamber (IMC)

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Not applicable. No such orders received from regulatory authorities.

Leadership Indicators

1. Details of public policy positions advocated by the entity:

Not applicable

PRINCIPLE 8

Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

As per the applicable laws, none of the projects undertaken by the Company can be categorized under SIA mandate. Hence no SIA has been carried out during FY 2023-24.

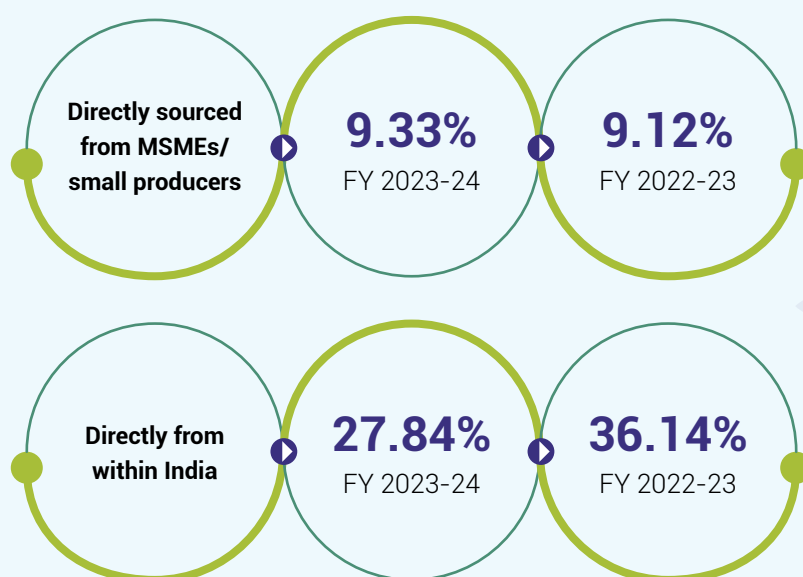
2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable, the Company has not undertaken any project which required R&R.

3. Describe the mechanisms to receive and redress grievances of the community.

Grievances can be written or verbal and can be expressed in local languages. They can be lodged by email, phone or written letters. Each grievance is acknowledged once received, and the complainant is informed of the next steps. Grievances with high severity levels are escalated to senior management levels. The respective departments investigate the grievance and respond to the complainant informing them about the proposed resolution.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:



5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Location	FY 2023-24	FY 2022-23
Rural	–	–
Semi-urban	88.32%	88.27%
Urban	–	–
Metropolitan	11.68%	11.73%

(Place to be categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan)

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

NIL

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized/vulnerable groups? (Yes/No)

No

- (b) From which marginalized/vulnerable groups do you procure?

N.A.

- (c) What percentage of total procurement (by value) does it constitute?

N.A.

The Company is impartial in its selection and procurement processes of its suppliers which is driven by the Company's procurement policy, Supplier Code of Conduct and supply chain management sustainability policy. The Company does not consider the criteria for marginalised / vulnerable group during selection of its suppliers. Because the business in which the Company operates, procurement from standard manufacturers is important for ensuring that the end product is suitable for safe consumption.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

NIL

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Not applicable

6. Details of beneficiaries of CSR Projects:

CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalised groups
Education and skill development	10,000+	100%
Healthcare	10,000+	
Tribal and Rural Development	10,000+	
Environment and Water Conservation	5,000+	
Livelihood opportunities	5,000+	

PRINCIPLE 9

Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

We regularly interact with the customers to understand their needs and to effectively address and resolve their complaints. The Company's dedicated marketing team serves as the primary point of contact for these complaints. Further, meetings are conducted at least once in a year with key customers and regular feedbacks are encouraged by other customers through emails.

2. Turnover of products and/ services as a percentage of turnover from all products/ service that carry information about:



3. Number of consumer complaints in respect of the following

	FY 2023-24		Remarks	FY 2022-23		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber Security	0	0	-	0	0	-
Delivery of essential services	0	0	-	0	0	-
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Others	2	0	-	6	3	-

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	NIL	NA
Forced recalls	NIL	NA

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes. The Company has adopted "Information Security Policy" to ensure data integrity and confidentiality. Further, Company's Code of Conduct covers the aspect regarding Data Privacy to protect sensitive information and maintain data confidentiality.

For more details, kindly refer;

Code of Conduct: <https://www.aartidrugs.co.in/code-of-conduct/>

Information Security Policy: <https://www.aartidrugs.co.in/sustainability-policies/>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

We have not received any penalty / or no action has been taken by regulatory authorities on safety of products in last financial year.

7. Provide the following information relating to data breaches:

a. Number of instances of data breaches:

NIL

b. Percentage of data breaches involving personally identifiable information of customers:

Not Applicable

c. Impact, if any, of the data breaches:

Not Applicable

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

The details of our products and services are disclosed on the website of the Company at the weblink: <https://www.aartidrugs.co.in/api/>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The Company adheres to relevant regulatory requirements by disclosing all the necessary information to its stakeholders including safe and responsible usage of products.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

We have procedures in place which triggers the communication to customers in case of any risk of disruption/discontinuation of essential services.

The Company engages with its customers on a frequent basis to update them on business continuity and product supply. In case of any potential disruption of supplies the customers and relevant stakeholders are informed well in advance to ensure seamless operation. The communication with customers is conducted via emails in case of any disruptions or shutdown and further mitigation actions are conveyed.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

The Company shows all the information which is mandatory as per regulatory requirements. We regularly interact with the customers to understand their needs. Meetings are conducted at least once in a year with key customers and regular feedbacks are encouraged by other customers through emails.